

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$3.69 ▲ 4.53%	12M Price Target \$4.50	52-Week Range \$3.01 – \$9.39	Market Cap \$1.77B
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BBAI: Defense AI Story Intact, But Valuation Still Rich

WHAT HAPPENED

- Stock bounced 4.5% on lighter volume (11M vs. the 25M+ we saw last week) — this looks more like a technical rebound off the \$3.50 support than real conviction buying. The broader tech tape was up 2.4%, so BBAI is basically riding sector beta.
- Options flow is screaming bullish though — 7,189 calls vs. 1,767 puts (put/call of 0.25 is very bullish), and someone bought 230 of the \$7 July calls. Somebody's betting on a near-term pop, possibly ahead of a contract announcement.

WHY IT MATTERS

Here's what I'm reading into this: BBAI is stuck in a tug-of-war between a fantastic macro story (federal AI + defense spending is booming) and a stubbornly rich valuation. The stock is only 11% off its 52-week low, meaning the market has already digested the "AI hype" phase and now wants to see real revenue conversion. The insider transactions on 6/30 (CEO, CFO, GC all filed "OTHER" — likely tax withholding on vesting RSUs, not open-market sales) are neutral, but the fact that no insider is buying at \$3.60 tells you management isn't screaming "cheap" either. Watch that \$7 call open interest — if the DoD drops a contract award in July, this thing can rip 30%+ overnight given how much short interest tends to sit in small-cap AI names.

POLICY & POLITICAL WATCH

The FY2026 defense authorization discussions are the single biggest catalyst here — the Pentagon's JADC2 (Joint All-Domain Command and Control) program and border security AI spending are both areas where BBAI has active contracts, and the administration's border/immigration enforcement push directly benefits their Pangiam biometrics business (CEO McAleenan is former DHS Acting Secretary — that's not a coincidence). Also watch the ongoing debate around federal AI procurement rules; if Congress mandates "American-made" AI for national security applications (a growing bipartisan theme), BBAI moves from vendor to preferred vendor. The risk direction: any continuing resolution that delays new program starts pushes their revenue recognition to the right.

IS IT EXPENSIVE?

At \$1.77B market cap on ~\$195M expected revenue, investors are paying about \$9 for every \$1 of sales — that's rich for a company still losing money and growing ~30%, when profitable defense-tech peers trade at \$6-8. The bull case is that if government contracts accelerate, revenue could hit \$250M+ and the multiple compresses naturally. But Simply Wall St. flagged it overvalued for a reason — you're paying for a future that hasn't shown up in the financials yet.

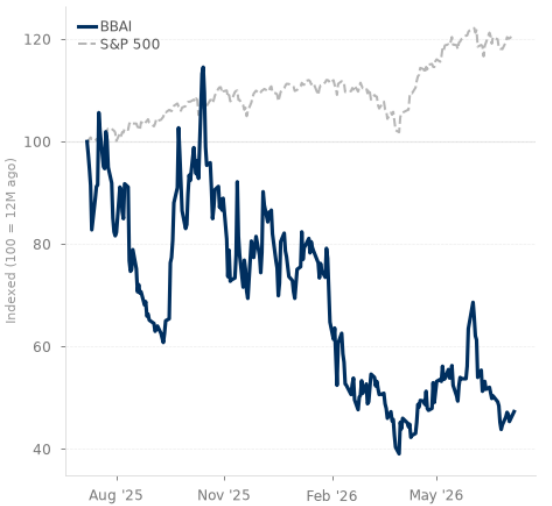
Key Data

Price (USD)	\$3.69
12M Price Target	\$4.50
Upside / (Downside)	+22.0%
Market Cap	\$1.77B
FY2026E Revenue	\$195M
FY2027E Revenue	\$245M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.18)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$4.50	\$3.80	\$3.10
6 Months	\$6.00	\$4.25	\$2.75
1 Year	\$8.00	\$4.50	\$2.25
2 Years	\$12.00	\$6.00	\$2.00
5 Years	\$20.00	\$9.00	\$1.50
10 Years	\$35.00	\$14.00	\$1.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+2.44%) and Industrials (+0.79% today, +2.30% for the week) — the market is pricing in continued federal spending on defense modernization and AI infrastructure, both direct tailwinds for BBAI's addressable market.

COOLING OFF: Energy is the clear laggard (-1.17% over 5 days), suggesting oil demand concerns and possibly signaling money rotating OUT of old-economy cyclicals INTO growth/tech.

ROTATION WATCH: Money is quietly rotating into AI and defense-adjacent names as the market anticipates the FY26 defense budget finalization — this is a direct tailwind for BBAI's peer group, even if BBAI itself lags the leaders.

RELATED PLAY: If defense AI keeps running, look at the data-center and edge-compute infrastructure names — companies like VRT (Vertiv) and even smaller-cap AI infra plays benefit from the same government spending wave without the single-contract risk BBAI carries.

WHO'S WINNING IN THIS SPACE?

- PLTR (Palantir): The gorilla in defense AI — every commercial and government win reinforces the "AI for national security" narrative that lifts the whole group.
- SOUN (SoundHound AI): Just posted 88% YoY growth in their Auto/IoT AI business — proving that specialized AI companies CAN scale revenue, which is exactly the proof point BBAI investors are waiting for.

BBAI CONTEXT: BBAI is LAGGING its peer group — sitting at just 11% of its 52-week range while PLTR and SOUN are printing new highs. That tells me either (a) BBAI is the value play in the group and about to catch up, or (b) the market sees something structurally wrong (execution, dilution risk, competitive position). I lean 60/40 toward the latter until they prove otherwise on the next earnings call.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — cautiously watching, not pounding the table. The setup is interesting but not compelling until we see either a contract catalyst or a cheaper entry.

POSITION SIZE: Keep this to 1-2% of portfolio, max — this is a speculative sleeve position, not a core holding. The stock can move 15% in a day either way.

ENTRY POINTS: I'd rather add on weakness at \$3.00-3.25 than chase here at \$3.69. If it breaks \$3.00, that's actually the buy zone assuming no bad news drove it there.

TIME HORIZON: 12-24 months — you're waiting for federal contract cycles to convert into recognized revenue. This isn't a quarter-to-quarter trade.

WHEN TO BAIL: If they announce another stock offering, lose a major DoD program, or if revenue growth drops below 20% YoY — any of those and I'm gone.

HEDGING: The simplest hedge is size — don't over-position. If you want more sophisticated protection, own PLTR alongside it; if BBAI loses contracts to Palantir, at least you own the winner.